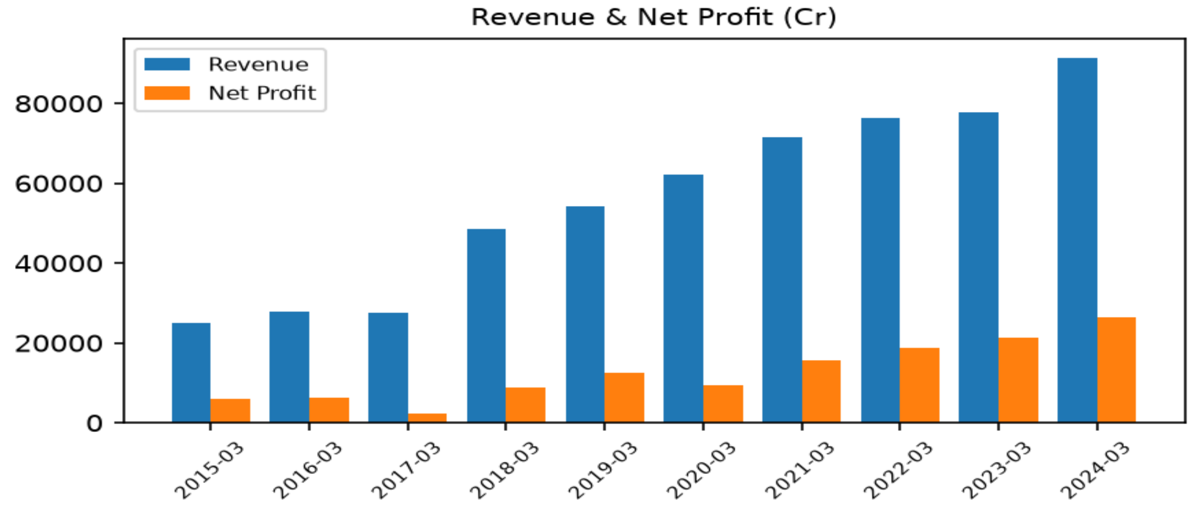
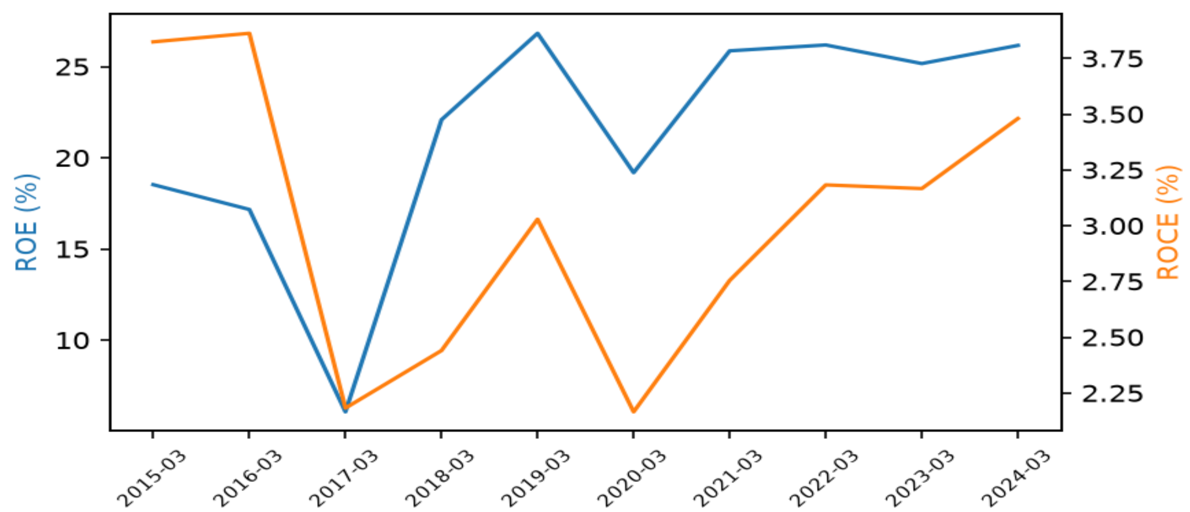
Power Finance Corporation Ltd (PFC)

ROE 26.2%	**ROCE** 3.5%	**Net Profit Margin** 28.9%
D/E 8.5	**Revenue CAGR 5yr** 11.1%	**Free Cash Flow (Cr)** -101229.0

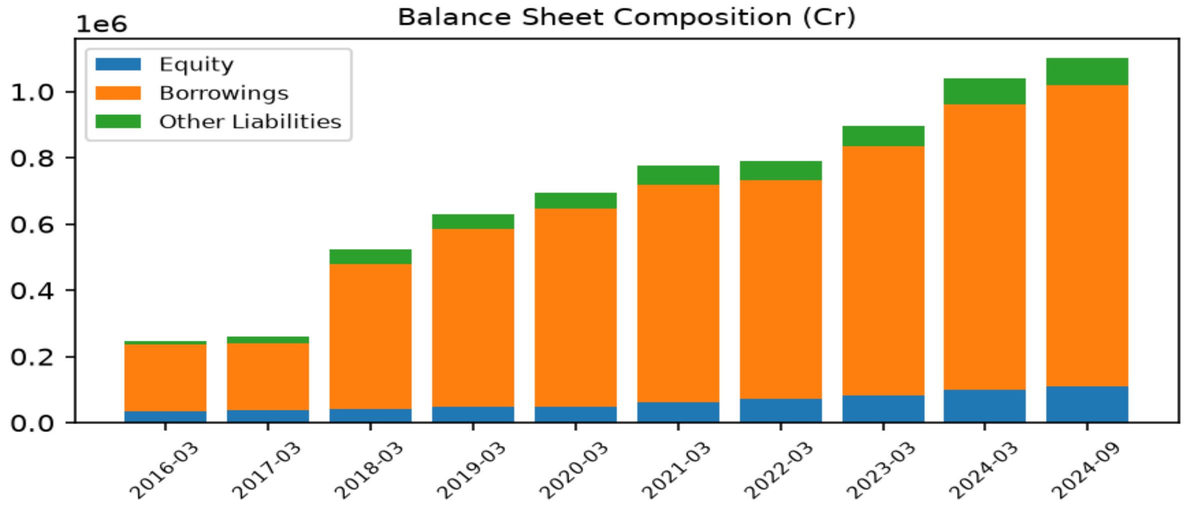
Revenue & Net Profit (10yr)



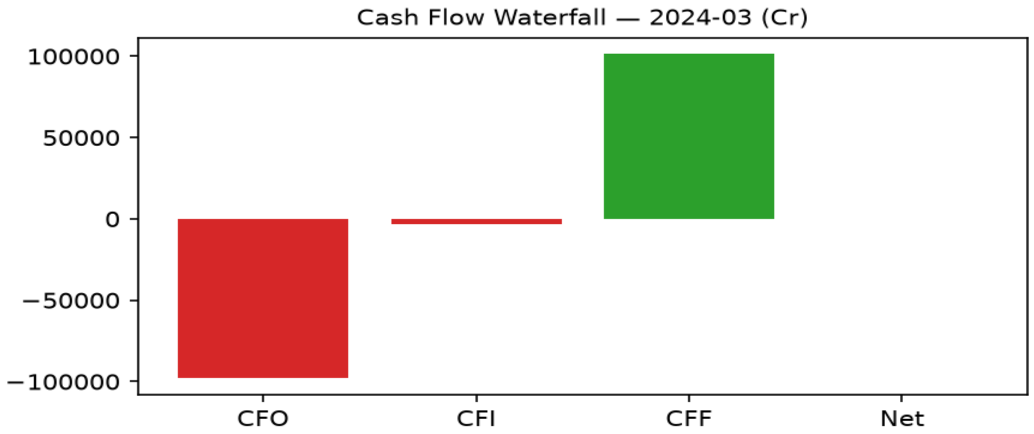
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
✓ Return on equity of 26.2% reflects the company's baseline capital efficiency.

Cons

✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
✗ Debt-to-equity of 8.52 is a general leverage level worth monitoring alongside sector peers.

Capital Allocation: Growth Funded by Debt